



CO-OPERATIVE BANK OF KENYA

The Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P. O. Box 48231 - 00100 GPO, Nairobi
Tel: (020) 3276100
Fax: (020) 2227747 / 2219831
Website: www.co-opbank.co.ke

7th August 2013

The Chief Executive
Nairobi Securities Exchange
Nation Centre
Kimathi Street
Nairobi

Dear Sir,

RE: THE CO-OPERATIVE BANK OF KENYA LIMITED
GROUP FINANCIAL RESULTS FOR THE HALF YEAR
ENDED 30TH JUNE 2013

Enclosed please find:-

- a. The unaudited financial statements of the Co-operative Bank Group for the half year ended 30th June 2013, together with the disclosures on earnings per share.
- b. The statement on cash flows, and changes in equity for the same period.

Yours faithfully,

Rosemary Githaiga (Mrs)
COMPANY SECRETARY
Encl.

Chief Executive Officer
Capital Markets Authority
Embankment Plaza
3rd Floor, Longonot Road
Upper Hill
Nairobi



-With copies of the above attached.

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2013



STATEMENT OF FINANCIAL POSITION

	GROUP			BANK			
	30-Jun-13 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	30-Jun-12 KSHS.'000	30-Jun-13 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000
	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited
ASSETS							
Cash (local and foreign)	6,178,202	6,607,918	7,170,048	4,842,723	5,988,956	6,396,503	7,170,048
Balances due from Central Bank Of Kenya	11,483,179	12,816,266	15,044,018	11,379,723	11,483,179	12,816,266	15,044,018
Kenya Government and other securities held for dealing purposes	30,009	30,009	30,009	31,029	30,009	30,009	31,029
Financial Assets at fair value through profit and loss	514	50,449	152,190	148,862	514	50,449	150,825
Investment Securities: Held to Maturity- Kenya Government Securities	7,620,730	4,545,934	3,373,531	159,255	7,460,416	4,384,332	3,213,925
Investment Securities: Held to Maturity- Other Securities	19,670	-	-	-	-	-	-
Investment Securities: Available for Sale- Kenya Government Securities	26,742,318	22,112,615	24,320,588	17,769,022	26,742,318	22,112,615	24,319,957
Investment Securities: Available for Sale- Other Securities	5,970,492	5,828,461	5,514,468	4,670,343	5,970,492	5,828,461	5,514,467
Deposits and balances due from local banking institutions	9,785,901	6,854,371	4,013,588	3,296,055	9,785,901	6,854,371	3,997,121
Deposits and balances due from banking institutions abroad	9,873,283	7,192,670	4,872,579	5,589,684	9,873,283	7,192,670	4,872,579
Tax recoverable	9,898	-	-	5,225	-	-	-
Loans and advances to customers (net)	124,922,159	119,107,304	119,087,748	112,605,484	124,922,159	119,107,304	119,087,748
Balances due from banking institutions in the group	-	-	-	-	-	-	-
Investments in associates	1,470,764	1,518,148	1,354,935	1,086,324	755,118	755,118	755,118
Investments in subsidiary companies	-	-	-	-	672,500	240,000	240,000
Investment in joint ventures	-	-	-	-	-	-	-
Investment in properties	-	-	-	-	-	-	-
Property, plant and equipment	8,917,627	8,877,806	8,949,529	9,474,069	8,912,270	8,872,056	8,943,111
Prepaid lease rentals	38,863	38,863	38,863	39,478	38,863	38,863	39,478
Intangible assets	2,092,114	2,114,083	2,145,001	581,339	1,840,066	1,861,745	1,892,241
Deferred tax asset	9,916	9,916	308,124	845,036	-	-	-
Retirement benefit asset	-	-	-	-	-	-	-
Other assets	10,086,619	7,605,499	4,511,363	5,176,984	9,573,407	7,490,513	4,392,927
TOTAL ASSETS	225,252,258	205,310,311	200,886,582	177,700,634	224,049,450	204,031,274	199,662,956
LIABILITIES							
Balances due to Central Bank Of Kenya	-	-	-	-	-	-	-
Customer deposits	172,833,142	162,210,361	162,083,580	145,682,875	172,833,142	162,210,361	162,267,227
Deposits and balances due to local banking institutions	5,882,877	1,820,297	1,065,302	1,906,186	5,882,877	1,820,297	1,065,302
Deposits and balances due to banking institutions abroad	-	-	-	294	-	-	-
Other money market deposits	-	-	-	-	-	-	-
Borrowed funds	5,269,985	4,409,127	4,572,005	164,241	5,269,985	4,409,127	4,572,005
Balances due to banking institutions in the group	-	-	-	1,630	-	-	-
Tax payable	116,112	589,840	585,429	201,020	115,248	581,042	581,349
Dividends payable	-	-	-	-	-	-	-
Deferred tax liability	175,713	175,713	473,939	-	175,713	175,713	175,713
Retirement benefit liability	-	-	-	-	-	-	-
Other liabilities	7,251,624	4,520,041	2,164,274	3,624,497	7,145,007	4,398,881	2,034,414
TOTAL LIABILITIES	191,529,453	173,725,378	170,944,529	151,580,743	191,421,972	173,595,420	170,696,010
SHAREHOLDERS' FUNDS							
Paid up/Assigned capital	4,190,844	4,190,844	4,190,844	4,190,844	4,190,844	4,190,844	4,190,844
Share premium/(discount)	3,588,262	3,588,262	3,588,262	3,588,262	3,588,262	3,588,262	3,588,262
Revaluation reserve	425,178	416,106	416,106	369,514	425,178	416,106	416,106
Retained earnings/ Accumulated losses	24,562,815	22,178,481	19,558,597	18,179,204	23,600,567	21,159,536	18,727,297
Statutory Loan Loss Reserve	451,784	451,784	451,784	205,978	451,784	451,784	451,784
Other Reserves	(193,647)	(2,040,815)	(1,062,887)	(1,117,307)	(193,647)	(2,040,815)	(1,077,486)
Proposed dividends	-	2,095,422	2,095,422	-	-	2,095,422	-
Capital grants	564,492	574,715	574,717	584,939	564,492	574,715	574,717
TOTAL SHAREHOLDERS' FUNDS	33,589,726	31,454,799	29,812,845	26,001,433	32,627,478	30,435,853	28,966,946
Non-Controlling Interest	133,080	130,134	129,208	118,459	-	-	-
TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	225,252,258	205,310,311	200,886,582	177,700,635	224,049,450	204,031,274	199,662,956

	GROUP				BANK			
STATEMENT OF COMPREHENSIVE INCOME	30-Jun-13 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	30-Jun-12 KSHS.'000	30-Jun-13 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	30-Jun-12 KSHS.'000
	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)
INTEREST INCOME								
Loans and advances	9,579,673	4,849,986	21,231,015	11,070,906	9,579,673	4,849,986	21,231,015	11,070,906
Government securities	1,891,107	873,679	2,688,498	1,174,796	1,878,553	869,256	2,662,204	1,162,461
Deposits and placements with banking Institutions	272,722	120,691	436,613	752,468	272,722	120,691	431,984	752,468
Other Interest Income	-	-	-	-	-	-	-	-
Total Interest Income	11,743,502	5,844,356	24,356,127	12,998,171	11,730,948	5,839,933	24,325,204	12,985,835
INTEREST EXPENSE								
Customer deposits	2,526,949	1,338,641	8,013,587	4,501,958	2,526,949	1,338,641	8,013,587	4,501,958
Deposits and placements from banking institutions	36,346	26,725	297,818	322,166	36,346	26,725	297,818	322,166
Other Interest Expenses	318,014	163,886	368,603	729,357	318,014	163,886	368,603	729,357
Total Interest Expenses	2,881,310	1,529,251	8,680,008	5,553,481	2,881,310	1,529,251	8,680,008	5,553,481
NET INTEREST INCOME/(LOSS)	8,862,192	4,315,105	15,676,118	7,444,690	8,849,638	4,310,682	15,645,196	7,432,354
NON- OPERATING INCOME								
Fees and commissions on loans and advances	868,748	361,540	1,455,578	525,537	868,748	361,540	1,455,778	525,537
Other Fees and commissions	2,434,541	1,217,219	4,588,303	2,301,429	2,289,679	1,160,498	4,332,051	2,195,721
Foreign exchange trading income/(loss)	669,721	343,534	1,292,225	618,622	669,721	343,534	1,292,225	618,622
Dividend income	-	-	2,937	52,127	-	-	55,072	52,127
Other income	525,164	280,534	830,174	539,971	524,773	275,548	825,508	539,971
Total Non-interest income	4,498,174	2,202,828	8,169,217	4,037,686	4,352,921	2,141,120	7,960,634	3,931,978
TOTAL OPERATING INCOME	13,360,366	6,517,933	23,845,336	11,482,376	13,202,560	6,451,802	23,605,830	11,364,332
OTHER OPERATING EXPENSES								
Loan loss provision	500,000	200,501	999,882	498,003	500,000	200,501	999,882	498,003
Staff costs	3,286,389	1,520,738	6,096,093	3,066,664	3,240,980	1,499,191	6,031,466	3,020,719
Directors' emoluments	21,550	14,779	83,552	46,365	17,374	10,068	64,516	37,093
Rentals charges	498,995	224,906	902,808	374,441	496,987	222,655	894,142	370,111
Depreciation charge on property and equipment	699,580	343,442	1,310,631	454,598	697,665	342,378	1,307,024	452,153
Armortisation charges	68,239	33,976	127,686	63,663	67,977	33,779	127,686	63,269
Other operating expenses	2,530,556	1,115,283	4,714,544	2,082,235	2,484,018	1,102,932	4,607,183	2,050,484
Total other operating expenses	7,605,309	3,453,627	14,235,196	6,585,969	7,505,002	3,411,504	14,031,899	6,491,832
Profit/(Loss) before tax and exceptional items	5,755,057	3,064,306	9,610,140	4,896,407	5,697,558	3,040,298	9,573,931	4,872,500
Exceptional items-Share of profit of associate	115,829	163,213	373,632	110,291	-	-	-	-
Profit/(Loss) before tax	5,870,886	3,227,519	9,983,772	5,006,698	5,697,558	3,040,298	9,573,931	4,872,500
Current tax	1,156,813	615,333	2,039,256	983,647	1,139,512	608,060	2,014,380	974,500
Deferred tax	-	-	220,658	-	-	-	230,118	-
Profit/(loss) after tax and exceptional items	4,714,073	2,612,186	7,723,858	4,023,051	4,558,046	2,432,239	7,329,433	3,898,000
OTHER COMPREHENSIVE INCOME:								
Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
Fair value changes in available-for-sale financial assets	883,839	(977,928)	1,997,998	1,948,856	883,839	(963,329)	1,997,637	1,957,816
Revaluation Surplus on property, Plant and Equipment	-	-	85,652	-	-	-	85,652	-
Share of other comprehensive income of associates	-	-	5,278	-	-	-	-	-
Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-
OTHER COMPREHENSIVE INCOME NET OF TAX	883,839	(977,928)	2,088,928	1,948,856	883,839	(963,329)	2,083,289	1,957,816
TOTAL COMPREHENSIVE INCOME	5,597,911	1,634,258	9,812,786	5,971,907	5,441,885	1,468,910	9,412,722	5,855,816
Earnings per share	1.12	0.62	1.84	0.96	1.09	0.58	1.75	0.93
Dividend per share	-	-	0.50	-	-	-	0.50	-

OTHER DISCLOSURES	GROUP				BANK			
	30-Jun-13 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	30-Jun-12 KSHS.'000	30-Jun-13 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	30-Jun-12 KSHS.'000
	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)
NON PERFORMING LOANS AND ADVANCES								
Gross non-performing loans and advances	6,770,113	6,680,550	6,203,278	5,995,030	6,770,113	6,680,550	6,203,278	5,995,030
Less								
Interest in suspense	766,541	860,777	869,668	867,364	766,541	860,777	869,668	867,364
Total Non-performing loans and advances (a-b)	6,003,572	5,819,773	5,333,610	5,127,666	6,003,572	5,819,773	5,333,610	5,127,666
Less								
Loan loss provisions	2,646,905	2,865,177	2,437,967	2,977,520	2,646,905	2,865,177	2,437,967	2,977,520
Net Non performing loans (c-d)	3,356,667	2,954,596	2,895,643	2,150,146	3,356,667	2,954,596	2,895,643	2,150,146
Discounted Value of Securities	3,461,351	2,954,596	2,572,046	2,150,146	3,461,351	2,954,596	2,572,046	2,150,146
Net NPLs Exposure (e-f)	-	-	323,597	-	-	-	323,597	-
Insider loans and advances								
Directors, shareholders and associates	152,289	157,952	159,003	150,366	152,289	157,952	159,003	150,366
Employees	6,025,239	5,896,013	5,645,248	5,189,096	6,025,239	5,896,013	5,645,248	5,189,096
Total insider loans, advances and other facilities	6,177,528	6,053,965	5,804,251	5,339,462	6,177,528	6,053,965	5,804,251	5,339,462
Off-Balance Sheet Items								
Letters of credit, guarantees, acceptances	15,135,797	15,493,515	14,434,139	14,510,212	15,135,797	15,493,515	14,434,139	14,510,212
Forwards, swaps and options	5,965,356	5,235,306	4,773,991	5,449,375	5,965,356	5,235,306	4,773,991	5,449,375
Other contingent liabilities	-	-	-	-	-	-	-	-
Total contingent liabilities	21,101,153	20,728,821	19,208,130	19,959,587	21,101,153	20,728,821	19,208,130	19,959,587
Capital strength								
Core capital					29,665,140	28,297,237	29,413,946	24,100,326
Minimum Statutory Capital					1,000,000	1,000,000	1,000,000	700,000
Excess/(deficiency)					28,665,140	27,297,237	28,413,946	23,400,326
Supplementary capital					5,828,064	4,964,937	5,128,270	455,100
Total capital (a+d)					35,493,204	33,262,174	34,542,216	24,555,426
Total risk weighted assets					153,573,881	148,969,589	145,187,161	139,561,802
Core capital/total deposit liabilities					17.0%	17.3%	18.0%	16.3%
Minimum Statutory Ratio					10.5%	10.5%	8.0%	8.0%
Excess/(deficiency)					6.5%	6.8%	10.0%	8.3%
Core capital/total risk weighted assets					15.1%	14.5%	20.3%	17.3%
Minimum Statutory Ratio					10.5%	10.5%	8.0%	8.0%
Excess/(deficiency)(j-k)					4.6%	4.0%	12.3%	9.3%
Total capital/total risk weighted assets					18.1%	17.1%	23.8%	17.6%
Minimum Statutory Ratio					14.5%	14.5%	12.0%	12.0%
Excess/(deficiency)(m-n)					3.6%	2.6%	11.8%	5.6%
Liquidity								
Liquidity Ratio					39.3%	35.9%	35.8%	28.1%
Minimum Statutory Ratio					20.0%	20.0%	20.0%	20.0%
Excess/(deficiency)(a-b)					19.3%	15.9%	15.8%	8.1%

These financial statements are extracts from the books of the institution.

Signed: S C Muchiri, EBS
Group Chairman

Signed: Dr.G. Muriuki, MBS
Group Managing Director & CEO

CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CASHFLOWS
FOR THE PERIOD TO 30TH JUNE 2013

	KShs'000 30-Jun-13	KShs'000 31-Dec-12
a. Cash generated from / (used in) operations	11,926,527	13,781,650
Taxation Paid	(1,605,613)	(1,374,679)
Net cash generated from / (used in) operating activities	10,320,914	12,406,971
b. CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	651,346	(3,007,868)
Purchase of intangible assets	15,499	(52,252)
Purchase of other investments	(2,931,572)	(3,210,075)
Proceeds from disposal of property and equipment	(1,523,277)	8,819
Net cash used in investing activities	(3,788,004)	(6,261,376)
c. CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	(2,095,422)	(1,396,948)
Loans received	697,980	4,320,173
Loans repaid	-	(113,322)
Net cash used in financing activities	(1,397,442)	2,809,903
INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	6,663,355	8,955,498
CASH AND CASH EQUIVALENTS AS AT 1ST JANUARY	23,591,154	14,708,942
Foreign Exchange Gain	(343,534)	(73,286)
CASH AND CASH EQUIVALENTS	29,910,975	23,591,154

THE CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE QUARTER ENDED 30 JUNE 2013

	Share Capital	Share Premium	Revaluation Reserve	Statutory Reserve	Fair value Reserve	Proposed Dividends	Retained Earnings	Total equity
Balance at 1 January 2013	4,190,844	3,588,262	416,106	451,784	(1,077,486)	2,095,422	18,727,297	28,392,229
Total comprehensive income:								-
Profit for the year	-	-	-	-	-	-	4,558,046	4,558,046
Other comprehensive income	-	-	-	-	883,839	-	-	883,839
2012 Dividends paid	-	-	-	-	-	(2,095,422)	-	(2,095,422)
Net movement in revenue grants	-	-	-	-	-	-	324,295	324,295
Realisation of revaluation surplus	-	-	9,071	-	-	-	(9,071)	-
Balance at 30 June 2013	4,190,844	3,588,262	425,177	451,784	(193,647)	-	23,600,567	32,062,987